

■ FORM 4 INSIDER CLUSTER STRATEGY

Generated: November 11, 2025 at 03:26 AM

Executive Summary

Strategy	Form 4 Insider Clusters
Capital Allocation	\$1,000.00
Positions Selected	4
Total Allocated	\$934.19
Cash Remaining	\$65.81
Lookback Period	100 days
Min Confidence	65%

Selected Positions

#1. CTS - CTS Corporation

Sector	Technology
Market Cap	\$1230M
Price	\$41.30
Insider Signals	7 signals (Quality: 2.0/3.0)
Signal Breakdown	Politicians: 0, Directors: 7, Officers: 0
Confidence	85.0%
Position Size	6 shares = \$247.80
Hold Period	14 days

Analysis:

Strong signal from 7 independent directors buying simultaneously 5 days ago, indicating high genuine confidence. No officer or politician involvement reduces promotional risk. Timing is excellent (<7 days), and coordination suggests unified bullish outlook. No price movement yet, so not late to the move.

■ **Bull Case:** Directors are likely buying after a 10% post-earnings drop, seeing undervaluation. Recent dividend declaration, share repurchase program, and new board appointment signal positive internal momentum. Sector tailwinds in technology hardware could drive recovery toward the 52-week high of \$58.27.

■ **Bear Case:** Recent earnings miss and stock decline highlight fundamental risks; P/E ratio is N/A, possibly indicating profitability concerns. Technology sector volatility and competitive pressures could limit upside. Beta near 1.0 means it moves with the market, exposing it to broader downturns.

#2. FDBC - Fidelity D & D Bancorp, Inc.

Sector	Financial Services
Market Cap	\$255M
Price	\$44.28
Insider Signals	4 signals (Quality: 1.6/3.0)
Signal Breakdown	Politicians: 0, Directors: 3, Officers: 1
Confidence	85.0%
Position Size	5 shares = \$221.40
Hold Period	14 days

Analysis:

Strong signal from 3 independent Directors buying simultaneously at the same price 1 day ago, indicating high-confidence coordination. Officer roles present minor promotional risk, but dual Director positions add credibility. Very timely with no price movement missed.

■ **Bull Case:** Multiple Director purchases suggest genuine belief in undervaluation or positive catalysts, supported by 11 consecutive years of dividend growth and new strategic hires. Stock trades below 52-week high with room for appreciation in a stable, low-beta regional bank.

■ **Bear Case:** Regional bank sector is sensitive to interest rate changes and economic downturns. Officer involvement could be promotional, and lack of P/E ratio may indicate profitability issues. Small cap volatility and limited upside if fundamentals weaken.

#3. BNTC - Benitec Biopharma Inc.

Sector	Healthcare
Market Cap	\$338M
Price	\$12.89
Insider Signals	4 signals (Quality: 2.0/3.0)
Signal Breakdown	Politicians: 0, Directors: 4, Officers: 0
Confidence	80.0%
Position Size	19 shares = \$244.91
Hold Period	14 days

Analysis:

High-confidence signal from 4 director purchases (no officers, reducing promotional risk) at very recent timing (4 days ago), with current price below entry. Although all purchases are from a single entity (Suwretta Capital), the scale and alignment with positive clinical news strengthen the signal.

■ **Bull Case:** Director buying at \$13.50 with current price at \$12.89 offers a discount; positive catalysts include FDA Fast Track designation and encouraging Phase 1b/2a results for BB-301, which could drive near-term upside. Low beta (0.176) suggests relative stability.

■ **Bear Case:** Biotech sector carries high volatility and clinical trial risks; recent \$100M public offering may cause dilution pressure. Reliance on a single insider entity limits diversity of confidence signals.

#4. APLD - Applied Digital Corporation

Sector	Technology
Market Cap	\$8793M
Price	\$31.44
Insider Signals	10 signals (Quality: 2.0/3.0)
Signal Breakdown	Politicians: 0, Directors: 10, Officers: 0
Confidence	80.0%
Position Size	7 shares = \$220.08
Hold Period	14 days

Analysis:

All 10 insider signals are from directors (high confidence, non-promotional), purchases are very recent (2 days ago), and multiple independent directors bought simultaneously, indicating strong coordination. No politician or officer signals reduce highest confidence but director focus is solid. Entry price ambiguity exists, but timing suggests we haven't missed the move.

■ **Bull Case:** Directors' coordinated buying reflects genuine confidence in company growth, possibly driven by expansion in data center infrastructure (evident from recent news on notes offering and breakout mentions). High beta (7.061) could amplify gains in a bullish market, and sector tailwinds in technology services may support upward trajectory.

■ **Bear Case:** High beta indicates extreme volatility and downside risk; proposed \$2.35B debt offering could strain finances or dilute value. Stock has surged from 52-week low (\$3.31), potentially overextended, and lack of profitability (P/E N/A) raises sustainability concerns amid market uncertainties.

■ Trading Instructions

1. **MANUAL APPROVAL REQUIRED** - Review each position carefully
2. Approve or reject each position when prompted
3. Only approved positions will be eligible for trading
4. Place limit orders at market price or better for approved positions
5. Set calendar reminders for hold period expiration
6. Monitor insider activity weekly for changes
7. Rebalance next Sunday based on new Form 4 clusters